Dropline Overdraft (DLOD) Knowledge Base

A Dropline Overdraft is a credit facility that combines the flexibility of an overdraft with the structured repayment nature of a term loan. The customer is sanctioned a credit limit and may utilize funds as required up to the available drawing power. Unlike a standard overdraft where the sanctioned limit remains unchanged, the available limit under a Dropline Overdraft reduces periodically according to a predefined schedule. This gradual reduction ensures that the facility is repaid over its tenure while still providing flexibility for business cash flow requirements. Interest under a Dropline Overdraft is charged only on the amount utilized and not on the entire sanctioned limit. Interest is generally calculated on a daily reducing balance basis and debited periodically as per the terms of the facility. As repayments are made, the outstanding balance reduces, which may lower future interest obligations. The available limit represents the portion of the sanctioned facility that remains available for withdrawal after considering the utilized amount and the applicable dropline schedule. Customers may withdraw funds up to the available drawing power, subject to the terms and conditions of the facility. Partial or full prepayment is generally permitted, subject to the applicable product terms. Early repayment reduces the outstanding balance and may lower future interest costs. Any applicable prepayment charges are governed by the bank’s prevailing policy. If the outstanding balance exceeds the available drawing power or sanctioned limit, the account may become irregular. Such situations may attract penal interest, additional charges, restrictions on further withdrawals, or other actions as specified in the bank’s policy. Customers are expected to maintain utilization within the approved limits. The sanctioned limit may be reviewed periodically based on business performance, banking behavior, repayment track record, financial information, bureau records, and internal risk assessments. Depending on the review outcome, the limit may be increased, reduced, renewed, or discontinued. The approval process may require documents such as identity proof, address proof, PAN, Aadhaar, business registration documents, bank statements, financial statements, GST-related documents where applicable, and any additional documents requested during assessment. Documentation requirements may vary based on customer category and product guidelines. The dropline schedule determines how the available limit reduces over the tenure of the facility. The reduction may occur monthly or at other predefined intervals. The schedule is communicated to the customer during sanction and forms part of the facility terms. The facility may involve charges such as processing fees, documentation charges, renewal charges, penal charges, and applicable taxes. The exact charges depend on the sanctioned offer and prevailing product policy. Customers may request closure of the facility after ensuring that all outstanding amounts, accrued interest, charges, and other obligations have been fully settled. Once the closure process is completed, the overdraft account will no longer be available for withdrawals. Interest debits are generally processed at predefined intervals, commonly on a monthly basis, although the frequency may vary according to the sanctioned terms. Customers should review account statements and facility documents for the applicable schedule. Drawing power refers to the maximum amount that may be utilized at a given point in time after considering the dropline schedule, repayments, and other applicable conditions. The available drawing power may change during the tenure of the facility. Multiple withdrawals and repayments are generally permitted within the available drawing power. This flexibility enables businesses to manage working capital requirements efficiently while paying interest only on the utilized amount. The facility is subject to periodic review and renewal. During renewal, the bank may assess account conduct, transaction trends, financial performance, bureau records, compliance requirements, and risk parameters. The outcome may result in continuation, modification, or discontinuation of the facility. Penal interest may be applied in situations such as excess utilization, non-payment of dues, breach of facility terms, or other events defined by policy. Penal charges are intended to encourage compliance with sanctioned conditions. The Key Fact Statement (KFS) provides a summary of important facility details, including the sanctioned amount, interest rate, fees, charges, tenure, repayment obligations, and customer rights and responsibilities. Customers may access the KFS through digital banking channels, email communication, account portals, or other approved methods made available by the bank. The sanction letter contains the approved facility details, including sanctioned limit, tenure, pricing, applicable conditions, validity, and other contractual terms. Customers may access the sanction letter through the designated digital platform or by contacting the relevant banking channel. The maximum amount available under a Dropline Overdraft depends on the customer’s eligibility, business profile, repayment capacity, risk assessment, internal policies, and regulatory requirements. The final sanctioned amount is determined during the credit evaluation process. An application may be declined if the customer does not satisfy eligibility criteria, documentation requirements, credit assessment standards, internal risk policies, compliance checks, or other underwriting parameters. The decision is based on the overall evaluation conducted by the bank. Disbursal timelines depend on successful completion of eligibility checks, document verification, agreement execution, regulatory compliance requirements, and operational processing. Digital journeys may enable faster processing; however, actual timelines may vary depending on the specific case.